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The Mathematical Test: What Constitutes a Tax Shelter?

Under **Subsection 237.1(1) of the Income Tax Act (ITA)**, the classification of a tax shelter is purely mathematical based on a specific test: an arrangement is legally defined as a tax shelter if the "statements or representations" (such as financial illustrations or marketing proposals) indicate that the total tax deductions available within the first 4 years will equal or exceed the **Net Cost** of the investment. In short, it applies if you are promised tax deductions or credits equal to or greater than your out-of-pocket "net" cost.

To prevent taxpayers from using borrowed money to artificially manipulate this math test, Section 237.1 mandates that the "Net Cost" of an investment must be mathematically reduced by any **"prescribed benefits."**

- **Income Tax Regulation 3100(3):** Explicitly defines "prescribed benefits" to include any **limited-recourse debt** used to finance the arrangement.
- **Subsection 143.2(7):** Legally deems a loan to be a limited-recourse amount *unless* there are bona fide written arrangements, made at the time the debt arose, to fully repay all principal and interest within a reasonable period **not exceeding 10 years**. Furthermore, this requirement cannot be bypassed by using a series of loans and repayments, such as a renewable demand loan.

The Immediate Financing Arrangement (IFA) Chain Reaction

When the statutory definitions above are applied mechanically to a standard IFA, the structure triggers the tax shelter definition through the following undeniable chain:

1. **The $0 Out-of-Pocket Setup:** A premium is paid, and a subsequent loan equal to that amount is taken out to reduce the out-of-pocket cost to $0.
2. **The 10-Year Rule Failure:** The loan is not subject to full repayment within 10 years, neither by contract nor by commercial reality.
3. **The "Net Cost" Erased:** The legally recognized "Net Cost" of the investment mathematically drops to $0 (due to the limited-recourse rules).
4. **The Tax Shelter Trigger:** Interest and NCPI costs are deducted from business income (albeit legitimately based on ITA 20(1)(c)), creating a deduction in excess of the $0 Net Cost; *the tax shelter criteria are mathematically met.*

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Mandatory Registration and Punitive Consequences

Critically, a plan classified as a tax shelter must be registered *before it is even put in place,* based solely on the promoter's illustrations or marketing materials.

The promoter is legally required to register the plan in advance for a **Tax Shelter Identification Number** and file forms with the CRA. Once a client subscribes to the plan, the promoter is required to report that client subscription to the CRA, and the client is then required to report the tax shelter subscription annually to the CRA with their tax filings.

If the tax shelter is unregistered, **Subsection 237.1(6) of the ITA** applies an automatic, mechanical penalty: **no person may claim any deduction** (interest or NCPI) related to the arrangement, and all deductions will be denied retroactively.

Furthermore, the CRA is legally empowered to:

- Reduce the Adjusted Cost Base (ACB) to zero for both the policy and any investments made with the borrowed funds.
- Apply severe punitive charges to the promoter.

The "Demand Loan" Defence

Promoters often claim a 1-year renewable "demand loan" bypasses these rules. However, **Subsection 143.2(12)** explicitly treats a series of short-term renewable loans as one continuous facility. Furthermore, CRA rulings (e.g., 2009-0340381R3) confirm demand loans are limited-recourse if a 10-year repayment timeline is absent. Because IFA illustrations explicitly pitch these loans as lifelong facilities "repaid out of the death benefit"—proving there is no bona fide written agreement to clear the debt within 10 years—the financing is legally classified as a limited-recourse amount.

Sincerely,

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